

POLICY NUMBER: HWI-HSM-002

GLOBAL CORPORATE PROCUREMENT POLICY

This policy establishes the standards on the approval, execution, and tracking of any activity committing Hilton's Corporate third-party spend. This includes the purchase of goods and services, including all expenses incurred by Hilton Team Members for business purposes, which are to be made on the basis of best price, service levels, and terms.

Policy Statement

Scope

Exclusions/Exceptions

The Role of Hilton Supply Management (HSM)

Sourcing Integrity

Sourcing and Contracting

Related Documents, Tools, and Templates

Definitions

POLICY STATEMENT

This policy establishes the standards on the approval, execution, and tracking of any activity committing Hilton's Corporate third-party spend. This includes the purchase of goods and services, including all expenses incurred by Hilton Team Members for business purposes. This is to ensure Hilton receives the best price, service levels, and terms available.

This policy is sponsored by Hilton Supply Management (HSM) who is responsible for the maintenance of and revisions to this policy. Capitalized defined terms can be found in the Appendix of this policy. Team Members with questions on this policy are encouraged to reach out to their HSM representative.

SCOPE

This policy applies to all Corporate Team Members purchasing goods and services. All monetary amounts shown in this policy are reflected in U.S. Dollar (USD) currency.

The failure of any employee to abide by this policy may result in disciplinary action.

EXCLUSIONS/EXCEPTIONS

This policy does not apply to property level procurement and spend, which is governed by the "Use of Hilton Supply Management" Policy (HSM 003)

THE ROLE OF HILTON SUPPLY MANAGEMENT (HSM)

Hilton Supply Management is a buying arm and purchasing organization, which obtains products and services directly from suppliers that deliver value. HSM is responsible for supporting supplier qualification, managing and evaluating competitive, risk based sourcing engagements in a transparent and auditable process, negotiating purchasing arrangements and business terms within contracts, and serving as an intermediary between corporate stakeholders, manufacturers, and suppliers.

The services of HSM are to be utilized for the sourcing and ordering of goods and services. In addition, Non-Disclosure Agreements (NDAs), Requests for Information (RFI), Requests for Proposals (RFP) and Hilton's contract lifecycle management system are to be facilitated and / or supported by HSM.

SOURCING INTEGRITY

Hilton expects our Team Members to interact with all potential suppliers and business partners as guided under the Hilton Code of Conduct policy HWI-LG-001.

SOURCING AND CONTRACTING

- A. **SmartSpend** is the Hilton intake tool for purchasing, contracting, and spend requests. It must be used by all Corporate Team Members who have access to it when making a request for purchase, contracting, or use of funds. For Corporate Team Members who do not have access to SmartSpend, they will continue to utilize the existing HSM, Finance, and Legal approval channels.
- B. **Buying Channels**
Team Members may purchase goods and services through the following buying channel methods:
 - (1) **Purchase Order:** All anticipated spend at or above \$5,000 requires a request be entered with HSM for a sourcing event, contract, or purchase order payment. For all anticipated spend under \$5,000, it is recommended a Team Member use another Buying Channel, such as a Corporate Card (see subsection B.3 below);

- (2) **Purchase Catalogue:** Selecting goods and services from a pre-approved Purchase Catalogue in the SmartSpend tool or from the Hilton IT Service Catalogue in ServiceNow;
- (3) **Corporate Card:** Using a Team Member's corporate credit card within the guidelines of the Business Travel and Expense Reimbursement Policy (HWI-HSM-001) or the Purchase Card Program Policy (HWI-HSM-004) (where available); or
- (4) **Non-PO Categories:** Verifying that the purchase falls within the limited categories that do not require a purchase order. Non-PO categories are listed below:
 - a. Banking Fees, Bank portal fees
 - b. Commission / Brokerage Charges
 - c. Corporate Donations / Donations to Charities / Public affairs type payments / Community Payments
 - d. Credit Card reimbursement
 - e. Contractor resources through the Contractor Connect tool
 - f. Customer refunds including compensation to customers
 - g. Customs Duties
 - h. Dividend or Debt Payments
 - i. Hilton Payments to Owners or Hilton Entities
 - j. Insurance
 - k. Intellectual property (e.g., trademarks and patents registration)
 - l. Legal / Environmental Settlements, (i.e. payment of fines or levies)
 - m. Litigation Payments
 - n. Medical Payments
 - o. Outside Legal Counsel
 - p. Rent / Lease and associated fees (e.g. dilapidation)
 - q. Right of way payments / land deals
 - r. School Fees
 - s. Tax, Royalty (i.e. rates, duties, withholding tax etc.)
 - t. Telecommunications services
 - u. Union Payments
 - v. Utilities (i.e. electricity, gas, water, and steam)

C. Supplier Vendor Master Database and New Suppliers

Hilton maintains a Corporate Supplier Vendor Master Database. Team Members should contact their HSM representative or email smartspend@hilton.com to determine whether a desired supplier already exists in this database. If the desired supplier is not already in the database or if there is a new MSA being issued, due diligence and risk assessments may be required prior to entering into a contract with the supplier for services as outlined in our collective Corporate policies and guidelines. Further questions can be referred to a member of the HSM team.

D. Requisition, Sourcing, and Contracting

(1) Requisitions:

Team Members must enter a request for all purchases of goods and services requiring a Purchase Order or contract estimated at \$5,000 or greater with HSM. It is strictly prohibited to engage a supplier to provide goods or perform services that cost greater than \$5,000 without having a fully executed Purchase Order or contract. Approvals of purchases will follow the guidelines in the Hilton Corporate Spending and Contract Execution Policy (HWI-FIN-106).

Those purchases not requiring a request must be made through the Buying Channels outlined above.

(2) Sourcing:

Competitive bids or quotes are required for all goods and services estimated at \$25,000 or greater in value. If estimated spend is \$100,000 or greater, a competitive sourcing event through a Request for Proposal (RFP) process is required.

HSM will support Business Owners with the sourcing of bids and documentation of sourcing criteria through the process outlined within the SmartSpend tool to ensure a uniform and auditable sourcing process. Sourcing criteria must be modeled in a comparative format and will include consideration of the total economic value and risks of Hilton's prospective relationship with a supplier. Communication of awards or rejections within a sourcing engagement will be managed by HSM with the Business Owner's input.

(3) Contracting:

All purchase commitments via Purchase Orders, invoices, contracts, service agreements, leases, or other form of contractual agreement must be governed in a document detailing the legal terms of the supplier–Hilton relationship, the duration of the agreement, and the associated costs, preferably on Hilton Legal templates approved by the Legal Department. In instances where use of a Hilton Legal template is not possible, Hilton Legal approval must be obtained. This is further described in Hilton Corporate Spending and Contract Execution Policy (HWI-FIN-106).

In partnership with Hilton Legal, SmartSpend is also one of Hilton's Record Management Programs to maintain the Hilton contract lifecycle where these governing documents will be housed. The maintenance and retention of these documents are also governed by the Hilton Records Management Policy (HWI-LG-010).

Confidentiality and Non-Disclosure Agreements

Team Members are required to use Hilton Legal Department-approved confidentiality and nondisclosure agreements (NDA) prior to entering into any discussions with suppliers or service providers. Team Members should also limit the disclosure of confidential information in those instances to information that must be disclosed in order for the supplier or service provider to respond appropriately to the bid or to provide the appropriate services or products. In general, those suppliers with whom Hilton has an existing and current master services agreement (MSA) are governed by Hilton's standard confidentiality clauses.

Payment Terms

Hilton's standard payment term is Net 60 days from receipt of invoice. Any deviation from this standard payment term must be approved in writing by both the Senior Vice President of HSM and a Senior Vice President of Finance.

E. Invoicing

Suppliers using a Purchase Order form of payment must be enabled in the SmartSpend tool and submit invoices via the SmartSpend e-invoicing platform in order for payment to be processed.

Approval of vendor invoice payments will follow the required approval process contained within the Hilton

Corporate Spending and Contract Execution Policy (HWI-FIN-106).

F. Adherence to the Hilton Responsible Sourcing Policy

All Team Members are required to align sourcing engagements with the guidelines of the Hilton Responsible Sourcing Policy, to the best of their ability.

G. Supplier Diversity Program

All U.S. purchases must be handled in a manner consistent with the goals and objectives of HSM's Supplier Diversity Program. For expected purchases over \$100,000 and where appropriate for the goods / services involved, HSM's goal is to include at least one qualified 1st or 2nd Tier WMBE (Women and Minority Business Enterprise) supplier in every Request for Proposal.

H. Prior Use of Suppliers

It is common to develop long-term relationships with suppliers who have consistently provided satisfactory service at competitive prices over a period of time. However, the existence of such relationships should not be given excessive weight when finalizing purchasing decisions.

RELATED DOCUMENTS, TOOLS, AND TEMPLATES

POLICIES & PROCEDURES	LOCATION
Hilton Anti-Corruption Policy (HWI-LG-009)	HWI-LG-009 Policy
Hilton Code of Conduct (HWI-LG-001)	Code of Conduct Policy
Hilton Corporate Spending and Contract Execution Policy (HWI-FIN-106)	FIN-106 Policy
Hilton IT ServiceNow Catalogue	https://hilton.service-now.com/sp
Hilton Responsible Sourcing Policy	Responsible Sourcing Policy
Hilton Information Governance Policy (HWI-IT-010)	Information Governance Policy
Business Travel and Expense Reimbursement Policy (HWI-HSM-001)	HWI-HSM-001 Policy
Purchase Card Program Policy (HWI-HSM-004)	https://lobby.hilton.com/sites/policiesprocedures/Policies%20%20Procedures/Purchasing%20Card%20Program%20Policy.pdf HWI-HSM-004 Policy

SmartSpend Job Guide	Supplier Management Overview for Spenders
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TOOLS / TEMPLATES	LOCATION
SmartSpend	https://hilton.coupahost.com/
Contractor Connect	https://prod.beeline.com/hilton/

DEFINITIONS

TERM / ACRONYM	DEFINITION
Approval Limits	The total gross economic value of a transaction (e.g., contract, invoice, purchase price, barter / asset value) over the life of a commitment. New commitments are required to be evaluated over a 5-year period.
Buying Channel	Authorized methods of purchasing or leasing materials, goods, and services.
Competitive Bid	Obtained wherever possible for purchases of \$25K (USD) or higher. A minimum of three bids should be obtained when feasible.
Contract	A written agreement that is dated and signed by each party and contains the basic terms and conditions of the agreement between the two parties.
Legal Approval	Prior to execution, all contracts must have the Legal approval by the required personnel per the Hilton Corporate Spending and Contract Execution Policy (HWI-FIN-106) and the Anti-Corruption Policy (HWI-LG-009).
\$ (Dollars)	All monetary amounts in this policy are noted in \$USD. The current exchange rate at the time the commitment / contract is entered into applies.
Purchase Order	A Hilton-issued contract for payment that has the required approvals within both this policy and the Hilton Corporate Spending and Contract Execution Policy (HWI-FIN-106).
Purchase Catalogue	An online catalogue that contains a list of materials, goods, and services for purchase with defined pre-negotiated rates specifically for Hilton.
Records Management Program	The program Hilton utilizes to create, maintain, track, and ensure proper disposition and destruction of records.
SmartSpend	SmartSpend is Hilton's internal intake and requisition procurement tool powered by Coupa used for purchasing and spend requests.
Supplier Vendor Master Database	A list of pre-approved suppliers that have been vetted by HSM to have met the criteria as a prospective supplier to Hilton or which has done business with Hilton in the past or present.